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Hongfa Technology - A

3Q26: Record results, full-year beat, and upgraded outlook—AIDC/800V and margin expansion stand out; stay OW

Overweight

600885.SS, 600885 CH
Price (29 Oct 26):Rmb29.80

Price Target (Dec-27):Rmb46.00

Infrastructure, Industrials & Transport

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Hongfa's 3Q26 results delivered a clear and decisive beat, with the company not only achieving but already surpassing its full-year estimates with one quarter still to go. This quarter marks another record high for both revenue and profit, underscoring Hongfa's ability to sustain and even accelerate growth momentum in a challenging macro environment. Management's post-results briefing (Oct 29) was notably upbeat, reaffirming robust demand visibility, ongoing pricing power, and a more bullish margin outlook. The quality of growth stood out: real volume demand remained above 20% Y/Y YTD by our estimate, while pricing contribution increased to 10–12ppts in 9M26, up from single digits in 1H26. With pricing actions still flowing through, new business drivers such as AIDC and 800V entering n, and margin expansion tracking ahead of plan, we believe Hongfa is poised to deliver another record year and enter a new phase of structural growth. We maintain OW.

- **Hongfa's 3Q26 results highlight a rare combination of accelerating growth and margin resilience, with the company already exceeding full-year expectations.** Revenue rose 38% Y/Y in 3Q26, an acceleration from 32% Y/Y in 1H26, driven by both robust volume and stronger pricing. Management's commentary confirmed that pricing benefit's contribution to sales growth has increased to 10–12ppts in 9M26, up from single digits in 1H26, and is poised to expand further in 4Q26E. Segmentally, HVDC, renewables, and industrial relays led the way with >50% Y/Y growth, while even the more cyclical segments such as auto, signal, and electric relays delivered solid 20–30% Y/Y gains, reinforcing management's view that there is no weak spot in the current relay upcycle.
- **AIDC and 800V are emerging as powerful new growth engines, with early n and content expansion already visible in the numbers.** AIDC-related relay sales surged c.60% Y/Y in 9M26, reaching c.Rmb900MM and contributing c.5% of total sales, with management on track to ramp AIDC sales to >Rmb1.5B for the full year. Notably, this figure only captures traditional relay applications, while HVDC relays for AIDC—offering higher content value and profitability—are now in small-batch orders with key global tech customers. Management sees the potential for HVDC relay AIDC applications to reach Rmb2–3B in sales within 2–3 years. Beyond relays, Hongfa is actively developing solid-state switches, connectors, and capacitors, with several products in sampling and validation with leading overseas customers, including those in the NVIDIA supply chain.
- **Margin expansion and operational leverage are increasingly visible, with management more bullish on the outlook for further improvement.** GPM improved a further 0.2ppts Q/Q to 33.4% in 3Q26, underscoring Hongfa's ability to pass through raw material cost pressure and maintain pricing discipline. Management's tone was more constructive on margin expansion

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than in previous updates, expecting notable improvement ahead as product mix continues to upgrade and industry consolidation intensifies. Operational costs were well managed, allowing strong sales growth to flow through to the bottom line, with net profit up 29% Y/Y despite forex headwinds. The company's ability to deliver margin improvement alongside record growth is a clear differentiator in the current market.

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Table 1: Hongfa - 3Q26 financial review

Rmb MMs (PRC GAAP)	9M26	9M25	*Y/Y*	FY26JPMe	% Achieved	3Q26	3Q25	*Y/Y*	Implied 4Q26E	4Q25	*Y/Y*
Revenue	17,340	12,914	34.3%	22,509	77.0%	6,318	4,567	38.3%	5,169	4,288	20.5%
Cost of sales	(11,630)	(8,442)	37.8%	(14,942)	77.8%	(4,210)	(2,952)	42.6%	(3,312)	(2,857)	15.9%
Gross profit	**5,710**	**4,472**	**27.7%**	**7,567**	**75.5%**	**2,108**	**1,615**	**30.6%**	**1,858**	**1,432**	**29.8%**
GPM%	*32.9%*	*34.6%*	*-1.7ppts*	*33.6%*	*-0.7ppts*	*33.4%*	*35.4%*	*-2.0ppts*	*35.9%*	*33.4%*	*2.6ppts*
Operating expenses	**(3,055)**	**(2,343)**	**30.4%**	**(4,391)**	**69.6%**	**(1,140)**	**(850)**	**34.2%**	**(1,336)**	**(1,042)**	**28.3%**
Taxes and others	(119)	(103)	16.0%	(176)	67.9%	(36)	(29)	24.4%	(56)	(32)	79.2%
Selling expenses	(450)	(371)	21.4%	(675)	66.7%	(165)	(125)	32.5%	(225)	(197)	14.2%
Admin expenses	(1,551)	(1,205)	28.7%	(2,220)	69.9%	(605)	(453)	33.7%	(669)	(509)	31.4%
R&D expenses	(815)	(627)	29.9%	(1,150)	70.8%	(335)	(249)	34.7%	(336)	(287)	17.1%
Impairment loss of assets	(120)	(37)	220.1%	(170)	70.3%	2	6	-70.4%	(50)	(18)	186.2%
						-18%	-19%				
Other gains/losses (net)	**195**	**147**	**32.6%**	**227**	**85.9%**	**61**	**50**	**22.0%**	**32**	**105**	**-69.5%**
Other investment income	199	152	30.5%	232	85.6%	65	53	22.3%	34	105	-68.1%
Non-operating income	4	2	73.6%	3	139.2%	2	2	-8.7%	(1)	1	-298.2%
Non-operating expenses	(8)	(8)	2.3%	(9)	93.9%	(5)	(5)	12.9%	(1)	(1)	-26.1%
EBIT	**2,849**	**2,276**	**25.2%**	**3,403**	**83.7%**	**1,029**	**815**	**26.2%**	**553**	**496**	**11.5%**
EBIT margin%	*16.4%*	*17.6%*	*-1.2ppts*	*15.1%*	*1.3ppts*	*16.3%*	*17.8%*	*-1.6ppts*	*10.7%*	*11.6%*	*-0.9ppts*
Net finance expenses	(147)	(23)	536.6%	(123)	119.3%	(43)	(35)	23.5%	24	(61)	nm
Share of profit of associates & JCEs	0	0	nm	0	nm	0	0	nm	0	1	-100.0%
Earnings before taxes	**2,702**	**2,253**	**19.9%**	**3,279**	**82.4%**	**986**	**780**	**26.4%**	**577**	**436**	**32.5%**
Income tax expenses	(326)	(306)	6.6%	(426)	76.5%	(125)	(112)	11.7%	(100)	(43)	130.8%
Net profit	**2,376**	**1,947**	**22.0%**	**2,853**	**83.3%**	**860**	**668**	**28.8%**	**477**	**392**	**21.7%**
Minority interest	(566)	(477)	18.6%	(709)	79.8%	(206)	(162)	27.1%	(143)	(104)	37.4%
Net profit attributable to shareholders	**1,810**	**1,470**	**23.1%**	**2,144**	**84.4%**	**654**	**506**	**29.4%**	**334**	**288**	**15.9%**
Net margin	*10.4%*	*11.4%*	*-0.9ppts*	*9.5%*	*0.9ppts*	*10.4%*	*11.1%*	*-0.7ppts*	*6.5%*	*6.7%*	*-0.3ppts*
Op-CF	807	1,573	-48.7%	1,363	59.2%	693	738	-6.1%	556	1,396	-60.1%

Source: Company report, J.P. Morgan estimates

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Investment Thesis, Valuation and Risks

Hongfa Technology - A *(Overweight; Price Target: Rmb46.00)*

Investment Thesis
Hongfa is a leading global supplier of relays, with applications across home appliances, automotive, power grids and renewables. Hongfa's diversified end demand and strong market positioning in niche segments enhance its resilience and growth potential, in addition to its consistent Op-CF and ROE generation achieved over the past decade. AIDC 800V architecture opportunities are emerging as the next catalyst to drive both earnings revisions and a re-rating. OW.

Valuation
Our Dec-27 PT of Rmb46 is based on our discounted cash flow (DCF) valuation. Our valuation assumes a WACC of 8.8% and a terminal growth rate of 0%.

Risks to Rating and Price Target
Downside risks include: (1) weaker-than-expected end demand in major verticals, such as home appliances and EVs; (2) an unexpected rebound in copper prices, putting pressure on our margin assumptions; and (3) unexpected trade policy changes.

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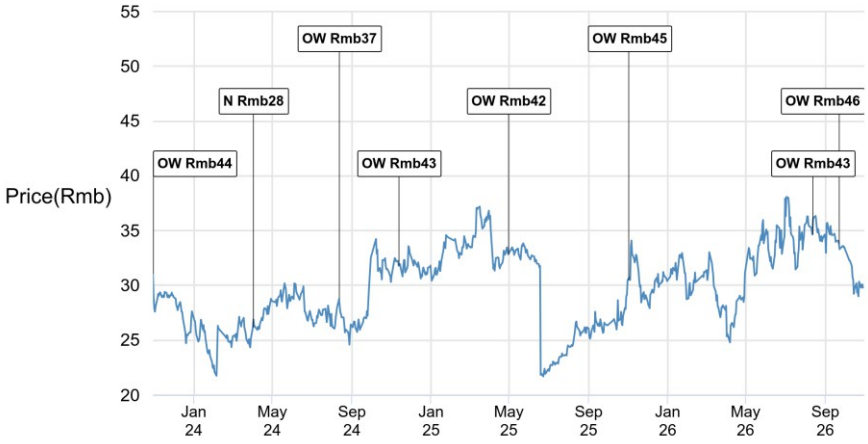
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Hongfa Technology - A (600885.SS, 600885 CH) Price Chart



Date	Rating	Price (Rmb)	Price Target (Rmb)
31-Oct-23	OW	31.10	44
02-Apr-24	N	26.15	28
13-Aug-24	OW	28.75	37
13-Nov-24	OW	31.80	43
01-May-25	OW	32.84	42
03-Nov-25	OW	30.47	45
13-Aug-26	OW	34.65	43
23-Sep-26	OW	33.80	46

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage May 28, 2021. All share prices are as of market close on the previous business day.

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